

NVIDIA Corporation

NVDA NASDAQ

Buy	\$217.78 ▼ 2.63%	12M Price Target \$260.00	52-Week Range \$164.27 – \$236.54	Market Cap \$5.26T
-----	------------------	------------------------------	--------------------------------------	-----------------------

NVDA: Palantir Deal Noise Masks Bigger AI Buildout Story

WHAT HAPPENED

- Stock down 2.6% to \$217.78 on a Palantir partnership headline — the market read that as NVDA sharing the AI stack pie rather than owning it. Honestly, that's an overreaction; partnerships expand the addressable pie more than they cede margin.
- Bigger drag: Treasury yields ripped higher on renewed Fed rate HIKE bets (meaning traders now think the Fed might raise interest rates instead of cutting) — that crushes long-duration growth stocks like NVDA because future profits get discounted more heavily. Oil hitting \$100 doesn't help the inflation narrative either.

WHY IT MATTERS

The 5-day slide from \$230 to \$217 isn't a NVDA story — it's a macro story. When yields spike and oil hits \$100, the market dumps the most-owned, highest-multiple names first, and NVDA is the most-owned stock on Earth. That said, Director Mark Stevens dumped ~\$144M of stock on Sept 4 right near the highs, which is a yellow flag on near-term price but not on the business (he's been a serial trimmer). The setup here: options flow is screaming bullish (put/call at 0.58, massive unusual call buying) while retail is nervous — that's typically the pattern before a bounce, not a breakdown.

POLICY & POLITICAL WATCH

The live wire is China export controls — the Commerce Department is still finalizing rules on the H20 successor chips, and any sign the administration lets NVDA ship more to China is a \$10-15B revenue unlock. On the friendly side, the federal AI infrastructure buildout (CHIPS Act follow-on funding and the administration's AI executive orders pushing domestic compute) continues to funnel money toward Blackwell/Rubin-class GPU deployments. Watch the Fed meeting later this month too — if the "rate hike" chatter fades, growth stocks like NVDA get an immediate multiple re-rating.

IS IT EXPENSIVE?

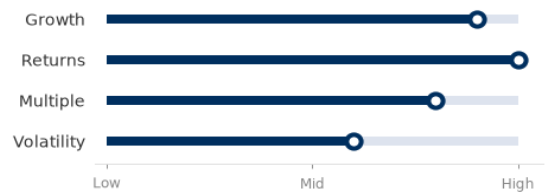
At \$5.26T market cap and roughly 49x forward earnings, you're paying \$49 for every \$1 of next year's profit — expensive on the surface, but NVDA is still growing revenue ~30%+ with 75%+ gross margins, which very few mega-caps can match. Versus AMD (~35x) and the broader semis (~25x), NVDA gets a premium because it's effectively a monopoly on training chips. The valuation is justified as long as hyperscaler capex keeps climbing — the second that guidance rolls over, the multiple compresses fast.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$217.78
12M Price Target	\$260.00
Upside / (Downside)	+19.4%
Market Cap	\$5.26T
FY2026E Revenue	\$205M
FY2027E Revenue	\$265M
FY2026E EPS	\$4.45
FY2027E EPS	\$5.85
Fwd P/E	48.9x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$235.00	\$222.00	\$205.00
6 Months	\$265.00	\$240.00	\$190.00
1 Year	\$300.00	\$260.00	\$175.00
2 Years	\$360.00	\$295.00	\$160.00
5 Years	\$500.00	\$380.00	\$150.00
10 Years	\$800.00	\$550.00	\$140.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communication Services and Consumer Staples — classic defensive rotation when yields spike and oil rips. Energy holding up on the \$100 oil print.

COOLING OFF: Real Estate and Financials getting hit on rate hike fears; semis broadly under pressure as the highest-beta corner of tech.

ROTATION WATCH: Money is quietly moving out of megacap growth and into defensives + energy — this is a "risk-off inside the market" move, not a full-blown flight. If yields stabilize, it reverses within days.

RELATED PLAY: If you believe the AI buildout continues, the power/cooling infrastructure plays (Vertiv, Eaton, Constellation Energy) benefit even when GPU names wobble — they're the picks-and-shovels behind the picks-and-shovels.

WHO'S WINNING IN THIS SPACE?

- PLTR (Palantir): Won the sentiment battle today on the NVDA partnership headline — market read it as Palantir getting NVDA's distribution muscle.
- AVGO (Broadcom): Custom AI silicon story continues to pull share of mind from NVDA on inference workloads.

NVDA CONTEXT: NVDA is lagging its own peer group this week, which is unusual and mostly macro-driven. When the most-loved name underperforms on no company-specific bad news, that's usually a setup for a snapback — not a trend change.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — the business is untouchable, the multiple is defensible, but near-term macro is choppy so I'm not pounding the table at \$218.

POSITION SIZE: 5-7% — this is a core holding, not a trade. Big enough to matter, small enough that a 20% drawdown doesn't wreck you.

ENTRY POINTS: Add in the \$210-215 zone on any macro fear day. If we get a flush to \$200, back up the truck.

TIME HORIZON: 12-24 months. Catalysts I'm waiting for: next earnings print, Rubin architecture rollout details, and clarity on China rules.

WHEN TO BAIL: If a major hyperscaler guides capex down materially, or if the China ban goes full-restrictive with no workaround — those are the two things that break the story.

HEDGING: Simplest hedge — own a smaller position and keep cash ready. If you want protection, buy 3-month puts 10% below current price; costs you 2-3% of the position for peace of mind.